

Skill or Luck? Testing a Short, High-Volatility Track Record

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Disclosure: the manager under review is the author. A personal discretionary account, highly concentrated. Long-only equity through 2024; multi-instrument from 2025. 30 monthly observations, March 2024 – August 2026.

RECOMMENDATION: DECLINE TO ALLOCATE

Cumulative return of **+760%** over 30 months, ending **21.7% below its high-water mark**. Two findings decide it, and neither depends on the other:

- **Capacity.** The largest contributor to the record, **16.2%** of it, traded **\$685,000 a day in 2024**. At a \$25m ticket that one position would have taken **109 trading days** to exit.
- **Alpha.** Jensen’s alpha against MSCI ACWI is +4.06%/mo at **t 1.09**, not significant. Proving it would take **87 to 100 months**. Thirty exist.

01 CAPACITY IS THE GATING QUESTION, AND IT DOES NOT CLEAR

POSITION ranked by contribution	SHARE OF RETURN of the +760% total	ADV \$/day, when held	AVG WEIGHT in book	HOLDING at a \$25m ticket	DAYS TO EXIT at 20% of ADV
DeFi Technologies	16.2%	685,000 (2024)	59.9%	\$14.98m	109
Mirae (KOSPI)	3.6%	8,286,565	25.9%	\$6.49m	3.9
Soitec (Euronext)	3.5%	58,974,884	16.9%	\$4.23m	0.4
Babcock & Wilcox (NYSE)	3.3%	47,780,825	12.7%	\$3.18m	0.3
LPKF (Xetra)	3.3%	1,892,390	20.6%	\$5.14m	13.6
Sivers (Nasdaq Stockholm)	2.9%	13,657,118	8.1%	\$2.02m	0.7

- A \$25m ticket is **0.22%** of an **\$11.2bn** asset base and **355×** the capital that produced the 2024 record.

The largest contributor to this record could not have been executed at institutional scale: **109 trading days** to exit at 20% of ADV. Any alpha estimate built on this record is therefore an upper bound.

02 ALPHA

FUND STRATEGY Top-down analysis → thematic allocation, expressed through individual equities, biased to smaller caps.

CHOSEN BENCHMARK MSCI ACWI, all-country and all-cap.

SPECIFICATION	CORR	ADJ R ²	ALPHA %/MO	T(A) 5% value 2.05	RESID SD
SOXX (semiconductors)	0.73	0.510	+4.50	1.46	16.20
MSCI ACWI + UMD momentum, 28 mo	0.65	0.371	+4.23	1.13	18.14
SPXTR (S&P 500 total return)	0.60	0.343	+4.50	1.24	18.77
Carhart 4-factor, 28 mo	0.66	0.338	+4.73	1.10	18.62
MSCI ACWI (benchmark)	0.59	0.329	+4.06	1.09	18.97
IWM (Russell 2000)	0.58	0.314	+6.23	1.73	19.17

- The t on alpha against the benchmark is **1.09**. Not statistically significant.
- Momentum was one of the few multi-factor specifications that increased explained variance.
- A thirty-month fit is not a fit throughout. Split by year, SOXX goes from explaining nothing to explaining almost everything:

PERIOD	MONTHS	PORTFOLIO	SOXX	ALPHA %/MO	T(A) vs 5% critical	BETA	CORR	R ²
Mar – Dec 2024	10	+166.3%	–0.2%	+10.84	2.12 / 2.31	0.12	0.04	0.00
Jan – Dec 2025	12	+31.5%	+40.7%	+0.22	0.04 / 2.23	1.09	0.49	0.24
Jan – Aug 2026	8	+145.6%	+72.8%	+1.41	0.29 / 2.45	1.80	0.95	0.89

The benchmark gives the lowest alpha and the weakest t of the six. That gap is mechanical, not a second benchmark choice:

B = CORR × VOL RATIO	BENCH VOL σ_{bench}	VOL RATIO 23.15 ÷ σ_{bench}	CORR	BETA	BENCH MEAN excess, %/mo	ABSORBS β × bench mean	LEAVES AS A of the 9.24%	RESID SD unexplained	SE(A)
SOXX (semiconductors)	11.36%	2.04	0.73	1.48	3.20	4.74	4.50	16.20	3.08
MSCI ACWI (the market)	3.16%	7.33	0.59	4.34	1.19	5.19	4.06	18.97	3.71

- **Channel one, the beta.** Portfolio volatility (**23.15%/mo**) and mean excess return (**9.24%**) are properties of the book, not of the benchmark. A benchmark a quarter as volatile needs a vol ratio nearly four times larger, and even with a lower correlation the beta still triples, so it **absorbs more of the fixed 9.24%**.
- **Channel two, the residual.** The market also explains less of the variance, so the residual widens and the standard error with it. Together the two channels take t from 1.46 to 1.09: **39% the smaller alpha, 61% the wider error**.
- **Drawdown against the same market.** Under water **15 of 30** months against **9**, and six times deeper: **38.6%** against **6.1%** for ACWI.

What would resolve it is a longer record. $n = (2 \times \text{residual SD} \div \alpha)^2$ gives **87 months**; requiring t to reach 2.00 gives **100**. Both are totals, and thirty exist, so **another 57 to 70: five to six more years of identical performance against the market the fund already owns**. A 760% return is not “proven edge” but **insufficient sample**.

03 SHARPE

Return per unit of total risk, measured against cash: the one measure that needs no benchmark at all.

NO BENCHMARK REQUIRED	EXCESS %/mo, over T-bills	VOLATILITY %/mo	STATISTIC annualised	T	DF	CRITICAL @5%	VERDICT
Sharpe ratio	9.24	23.15	1.38	2.19	29	2.045	clears by 6.9%

- **The Sharpe clears, and the distribution is not normal.** Nineteen of 122 positions produced ~97% of the equity book, the three largest months are **42%** of all positive return, and the only two observations beyond two standard deviations are both on the upside.
- **MSCI ACWI's Sharpe over the same period is 1.31.** The past thirty months have been a bull market, lifting equities well above their long-run Sharpe. The excess over owning the index is **0.08**.

04 INFORMATION RATIO

BENCHMARK	ACTIVE %/mo	TRACKING ERROR %/mo	IR annualised	T	CRITICAL @5%	VERDICT
MSCI ACWI	+8.05	21.43	1.30	2.06	2.045	clears
SOXX (semiconductors)	+6.04	16.82	1.24	1.97	2.045	fails

- **It clears against the market and fails against the sector,** on t-statistics of **2.06** and **1.97**.
- **And the information ratio assumes a beta near one.** Adjust for the **3.34 betas above one**, which earn ACWI's own 1.19%/mo, and **3.99** of the 8.05 disappears. What is left is the **4.06 alpha: half the active return is leverage, not selection**.

Every measure that clears is one that ignores how much market exposure produced the return. The Sharpe uses no benchmark at all. The information ratio subtracts the benchmark once. **Jensen's alpha subtracts it 4.34 times, and that is the one that fails.** The verdict turns on whether you adjust for beta, and an endowment sizing this against a beta budget has to.

05 BETA BUDGET

Kamehameha targets a portfolio beta of 0.70 to 0.80, so a manager competes on return earned per unit of beta consumed, not on return alone.

Holding that target means funding an allocation by selling index, and the manager has to beat the exposure it displaced rather than the cash it came from.

AT A \$25M TICKET	AMOUNT	SHARE
Dollar allocation	\$25.0m	0.22% of \$11.2bn
Market exposure it consumes, at beta 4.34	\$108.6m	1.29% of the beta budget
Manager excess 9.24%/mo, less the displaced index at 1.19%/mo	\$2.31m less \$1.30m	
Net gain over the exposure it displaces	\$1.01m/mo	± \$0.93m

- **0.22% of the fund in dollars, 1.29% of its beta budget: 5.8 times its dollar weight**, which is just beta 4.34 divided by a 0.75 target.
- **The beta is itself an estimate:** SE 1.11, 95% interval **2.06 to 6.62**. The exposure is really **\$52m to \$166m** and the multiple 2.8 to 8.8 times. **The conclusion holds across the range**, but the point estimate reads as more precise than it is.
- The manager has to beat the \$108.6m of index that funds it, and **\$1.01m a month against a standard error of \$0.93m is the same t of 1.09, in dollars**.

06 WHAT THIS SCREEN CANNOT ESTABLISH

Returns-based analysis is one workstream of six. Remaining diligence, in priority order:

- **Holdings-based attribution:** allocation versus selection, which returns-based work cannot separate
- **Net-of-fee alpha:** gross throughout; net of 2/20 the SOXX alpha falls from 4.50% to **3.72%/mo**
- **Process, operations and key-person risk:** sources of edge; custody and valuation of illiquid marks; single decision-maker
- **Peer percentile:** no manager universe to rank against
- **Independent verification:** returns are self-exported broker statements, neither audited nor GIPS-verified

07 WHAT WOULD CHANGE THE RECOMMENDATION

- **The same process, and the same results, in more liquid securities.**
- **Performance through a falling market.** The worst peak-to-trough in ACWI across these 30 months is **6.1%**. This process has never been observed in a broad-market drawdown

Method. Monthly time-weighted returns from Interactive Brokers PortfolioAnalyst; risk-free rate 3-month US T-bill. February 2024 is excluded as an inception stub; August 2026 is partial and retained, since dropping it would raise alpha on every benchmark. Portfolio and benchmark series are the broker's own total-return figures from the 21 August 2026 report; no yield is assumed. All regressions, standard errors and significance tests were computed independently; the broker's reported information ratio and alpha are inconsistent with its own inputs and were not relied upon. Average daily volume is the August 2026 monthly average except DeFi Technologies, measured over its 2024 holding period and a **manager estimate** of roughly 500,000 shares daily through 2024, not independently sourced. Prepared as an analytical work sample; not an offer or solicitation.